Pre-Collection Recovery System

B2B Fuel Card / Fleet / Logistics • Florida-ready deployment

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EXECUTIVE SNAPSHOT

Pre-Collection Recovery

Problem:

- Recoverable balances leak before agency referral
- Guaranties exist but are not activated systematically
- Payment plans are offered, but without mandatory auto-debit discipline

Solution:

- Internal pre-collection sequencing layer
- Behavioral segmentation + controlled offers
- Guarantor activation + mandatory ACH
- Acceleration discipline + litigation-ready documentation

Outcome targets (illustrative): higher net recovery, shorter time-to-cash, lower roll-to-agency, stronger enforcement posture.

HIDDEN REVENUE LEAKAGE

Key drivers before agency referral

- Immediate contingency-based escalation (fee compression)
- Unstructured repayment attempts (no sequencing, no triggers)
- Low enrollment into auto-pay plans
- Weak documentation before enforcement
- Higher complaint / dispute risk under stress

This is a sequencing problem — not a collections problem.

WHY STANDARD WORKFLOWS UNDERPERFORM

Observed pattern

- Guaranty is signed but rarely used early (no activation ladder)
- ACH is optional (high churn on cards / contact details)
- Acceleration exists on paper but is not applied consistently
- Letters are reactive and inconsistent (no timing discipline)
- Outcome depends on individual operator style rather than system

STAGE 1 — BEHAVIORAL SEGMENTATION

Controlled escalation

- Days past due (DPD) bands
- Payment history patterns
- Corporate stability indicators (signals, not claims)
- Communication responsiveness
- Guarantor exposure and documentation status

STAGE 2 — CONDITIONAL OFFER CONVERSION

High-level mechanics

- Time-sensitive incentive window (fee relief conditioned on compliance)
- Signed structured plan (reaffirmation language where appropriate)
- Mandatory auto-debit enrollment (ACH preference)
- Clear default / cure timeline and triggers

CORPORATE DEBT → GUARANTOR EXPOSURE

Florida-ready pathway

If a valid personal guaranty exists:

- Activation ladder and documented reaffirmation
- Direct-action posture (where contract allows)
- Dissolution of LLC does not extinguish guarantor exposure

If guaranty does NOT exist:

- Risk-adjusted settlement sequencing (if no guaranty)
- Higher documentation standard before escalation
- Onboarding redesign to prevent recurrence

STAGE 3 — MANDATORY AUTO-DEBIT

ACH-first discipline

- Recurring ACH enrollment at agreement execution
- Survival until paid-in-full (even if service relationship ends)
- Return/NSF triggers feed cure → default → acceleration sequence
- Reduced reliance on changed cards / contact churn

LITIGATION-READY DOCUMENTATION

Enforcement posture

- Settlement & reaffirmation agreement (Florida governing law / venue)
- Personal guaranty (separate execution; joint & several)
- ACH authorization (recurring; survival; update obligation)
- Cure / default notices (certified mail templates)
- Evidence packaging for counsel (timeline, exhibits, payment history)

SCENARIO: LLC DISSOLVED / OWNER DISAPPEARS

What actually works

- Immediate status verification (corporate registry) + last-known address validation
- Guarantor activation (if signed) + documented demand to individual
- Asset-aware pre-suit positioning (no speculative claims)
- Florida venue enforcement posture where contract supports it

ILLUSTRATIVE IMPACT

Charts are directional

+10–20%	-8–12pp	-15–20d	+30–45pp
NET RECOVERY■UPLIFT	ROLL-TO-AGENCY■REDUCTION	DSO■IMPROVEMENT	AUTOPAY■ENROLLMENT

Note: final results depend on portfolio mix, documentation quality, and enforcement discipline.

END-TO-END WORKFLOW

Sequencing

Segment → Conditional Offer → Sign Plan → ACH Auto-Debit → Cure/Default → Acceleration → Pre-Suit Package → Counsel/ Filing

CRM LAYER REQUIREMENTS

Visibility & controls

- Single account timeline (calls, SMS, email, letters, payment events)
- Stage/status pipeline (DPD bands + offer state + ACH state)
- Task assignment with due dates and audit trail
- Email and SMS tracking where supported (opens/clicks)
- Exportable evidence packet for counsel

WHAT VITACOREX DELIVERS

Engagement deliverables

- Process design: sequencing + triggers + escalation ladder
- Document package: settlement, guaranty, ACH, notices (Florida-ready)
- CRM build-out: pipelines, statuses, templates, automation rules
- Team enablement: scripts, playbooks, QA standards
- Operational governance: KPI dashboard and monthly optimization

90-DAY PILOT

Low disruption deployment

- Week 1–2: portfolio sampling + baseline curve + workflow mapping
- Week 3–4: documentation + CRM configuration + training
- Month 2: controlled rollout on selected DPD bands
- Month 3: measurement, tuning, and scale decision

KPI DASHBOARD

Executive reporting

- Net recovery rate before agency referral
- Roll-to-agency ratio
- Plan acceptance rate and completion rate
- Auto-debit enrollment and failure rate
- Median time-to-cure / time-to-cash
- Complaint/dispute incidence during recovery

KPI TABLE (ILLUSTRATIVE)

Baseline vs target

Metric	Baseline	Target
Net recovery (pre-agency)	42–48%	50–58% (+6–10 pp)
Roll-to-agency rate	28–35%	18–24% (-8–12 pp)
Auto-debit enrollment	15–25%	55–70% (+30–45 pp)
Plan completion rate	40–50%	60–75% (+15–25 pp)
Median time-to-cash	52–60 days	35–45 days (-15–20 d)

All figures are illustrative and provided for executive modeling purposes only.

COMPLIANCE & RISK POSTURE

B2B-first approach

- B2B collections practices with documented consent and clear notices
- Segmentation and messaging governance (avoid inconsistent claims)
- Audit trail for communications and payment authorizations
- Escalation aligned to contract and venue language

Note: If portfolio includes consumer debt, separate FDCPA workflows must be implemented.

WHY THIS MATTERS NOW

Cost of inaction

- Agency escalation compresses retained recovery via contingency fees
- Operational cost grows as accounts age (re-work, contact decay)
- LLC churn and contact churn reduce future collectability
- Lack of system makes outcomes unpredictable and difficult to forecast

ONBOARDING PACKAGE

Day-1 protection — prevent recurrence

- Separate personal guaranty execution (individual capacity)
- Mandatory recurring ACH authorization for payment plans
- Florida governing law / venue language (where commercially appropriate)
- Acceleration and cure mechanics aligned to operations
- Documentation checklist for enforceability

NEXT STEPS

Engagement pathway

01 NDA (if required) → data request for baseline

02 30-minute working session (ops + finance)

03 Pilot scope confirmation and timeline

04 Deployment and measurement

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APPENDIX A — DATA REQUEST

Minimal footprint for pilot

- Last 12 months: delinquency list (DPD, balance, last payment date)
- Contract flags: guaranty present (Y/N), documentation completeness
- Communication fields: phone/email last verified date
- Agency escalation history and fees (if applicable)

APPENDIX B — DISCLOSURES

Important notices

- This deck is informational and does not constitute legal advice.
- Implementation requires review of existing contracts and applicable law.
- Illustrative charts are directional; results depend on portfolio mix and execution discipline.

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